

Our Markets

Feeding Diverse Markets, Capturing Evolving Demand

Saudi Arabia

The Kingdom's Food Transformation Gathers Pace

Saudi Arabia entered 2025 with stable economic momentum, supported by expanding non-oil activity, ongoing investment in infrastructure and a growing population driven by expatriate inflows. Moderate inflation helped preserve purchasing power, while government-led development programs, tourism and workforce participation – particularly among women – continued to reshape consumption behaviors and spending patterns. These dynamics created a supportive backdrop for sectors linked to everyday living, including food, retail and food service.

Within this environment, the food and retail sector reflect meaningful growth shaped by changing lifestyles, evolving

demand patterns and ongoing structural shifts. Increased labor force participation supports more out-of-home consumption and reinforces demand for ready-to-eat, quick-service and delivery-led options.

Consumers are more value-oriented given cost-of-living considerations, yet they continue to upgrade selectively in categories linked to quality, fresh products, and healthier lifestyles. This dual mindset has fueled interest in local products and healthier formats, while still keeping price sensitivity high in mass categories. According to PwC, food prices now matter most to consumers, outranking taste and brand trust, underscoring the need for pricing discipline and targeted value propositions tailored to different customer segments.

Channel dynamics are shifting. Modern trade continues to expand at the expense of traditional outlets, while e-commerce is the fastest growing platform, supported by improved visibility, last-mile efficiency and stronger digital engagement. These behavioral shifts require businesses to adapt assortment, pricing, portfolio relevance and route-to-market execution to capture emerging demand spaces.

UAE

A Digitally Driven Consumer Ecosystem

The UAE maintained favorable conditions for food and retail in 2025, supported by population growth, tourism and rising household spending. Inflation remained low, preserving purchasing power and enabling greater discretionary consumption. Consumers demonstrated strong digital adoption, with high engagement in omnichannel shopping and rapid uptake of convenience formats.

Takeaway and prepared food ordering became routine for many households, while retailers invested heavily in personalization, AI-enabled experiences and mobile-first shopping. Convenience-led channels flourished through dark kitchens, micro-fulfillment centers and delivery models. With food retail expanding and food service growing at double-digit rates, the UAE remained one of the region's most advanced and innovative-led consumption markets.

Egypt

Value-Seeking Behavior Defines Demand

Egypt's food and retail landscape in 2025 was shaped by inflationary pressure and currency dynamics that squeezed purchasing power. Consumers responded by switching to cheaper brands, smaller pack sizes and staples, while imported goods became more expensive and scarce.

Nominal FMCG growth continued, supported by inflation and population expansion, yet real consumption in key categories such as fruits, dairy and proteins are

negatively impacted. Food service remained a relatively bright spot, expanding as urban markets and affluent segments sustained demand for out-of-home consumption. Overall, the market favored affordability, localization and efficient pricing to meet constrained household budgets.

Turkey

Inflation Reshapes Consumption and Supply Chains

Turkey's food sector operated under significant inflation and exchange rate pressure, influencing both costs and consumer behavior. Households traded down to staples and lower-priced items, narrowing discretionary spending and slowing volume growth despite elevated nominal market values.

Policy interventions, such as import quotas and tariff adjustments, aimed to stabilize input markets, while export momentum grew in segments like dried fruit, nuts and packaged foods to Gulf and Asian markets. Food service continued to expand, supported by tourism and delivery-led models, although value positioning and cost discipline remained critical as consumers prioritized affordability.

Algeria

Fragmented Retail and Strong Staples Demand

Algeria's food sector in 2025 reflected moderate economic growth but persistent budget constraints, with food spending taking a large share of household income. Retail remained fragmented, dominated by traditional stores, while modern grocery's penetration was limited.

Government policies focused on local supply and import regulation for key staples, reinforcing the role of domestic production. Packaged foods saw steady expansion, particularly in snacks and sauces, while staples such as bread and oils maintained strong demand supported by subsidization. Food service is expected to gain traction through upcoming HoReCa Expos and planned infrastructure development, including fast-casual and café concepts.

Savola operates across some of the region's most dynamic food economies, where consumer expectations, channel shifts and value sensitivity continue to reshape demand. These markets offer distinct opportunities but share common themes around convenience, affordability and digital engagement, creating an environment where scale, agility and execution matter.